Figure 11.3. 15-year versus 30-year mortgage

Before we jump to the striking difference in the total cost of the loans, let's acknowledge the appeal of the 30-year option: lower monthly payments. The 30-year mortgage will leave you with monthly payments that are $766 cheaper than the 15-year mortgage. While this is not a small difference, if you can afford the higher monthly payments of the 15-year mortgage, the advantages are incredible.

Look at the total paid, which is the most important part of any financing deal. The 15-year mortgage will save you over $120,000 in the long run! One of the reasons for this is that 15-year loans come with lower interest rates. In the example above, the 15-year